

Crossover. If you're using a moving average to time the entry, wait for price to cross above the simple moving average (SMA). I recommend a 4- or 5-month SMA. Tests of 4-, 5-, 7-, and 10-month SMAs show the 4 and 5 month values have the largest gain and smallest hold-time loss (the maximum amount of money you might lose if you sold at the worst time).

Measure the drop from the base of the cloud to the lowest low. If the stock has dropped less than 40%, wait. The stock may drop more. Otherwise, buy at the open in the next trading session.

Hold time. Cloudbank trades are buy-and-hold investments. If price drops below your purchase price and it's a bear market, don't worry. Most stocks will be hurting, just like the one you bought. Check the news and fundamentals. If they are fine, then hold on. If it is not a bear market, then recheck your work and the reason for buying the stock. If you continue to expect a recovery, then hold onto the position, otherwise sell it.

Sell at cloud base. Statistics show that it takes longer to move through the cloud than it takes to reach the cloud. Thus, if the stock reaches the bottom of the cloud (or even comes “near,” however you define “near”), then *consider* selling. There are times when the stock is chugging along, making new highs each month. In those cases, hold on and ride the stock through the cloud until price starts moving horizontally or falling. Then sell.

Experience

Let me tell you about what I found in my trade review.

Northwest Pipe Co.

Entry into a cloudbank for me is often set by when I have the cash and am looking to invest. I think that's the case with Northwest Pipe Co. (NWPX). I also mention this trade briefly in the chapter on rectangle tops.

In 2011 through most of 2012, the stock bounced off support at 19 to 21, forming a cloudbank. The last touch was in December 2012. After that, the stock climbed to a June 2014 high of over 41. And then it tumbled, dropping to 7.46 in early 2016.